- Globalization rapidly increase better trade so that more people are employed.
- Introduced new technologies and new scientific research patterns.
- Globalization increasing the GDP of a country.
- It helps to increase in free flow of goods and also to increase Foreign Direct Investment.

Negative Impact

- Too much flow of capital amongst countries, introduces unfair and immoral distributors of Income.
- Another fear is losing national integrity. Because of too much exchange of trade, independent domestic policies are lost.
- Rapid growth of the economy has required a major infrastructure and resource extraction. This increases negative ecological and Social costs.
- Rapidly increases in exploitation of natural resources to earn foreign exchange.
- Environmental standards and regulations have been relaxed.

Challenges of Globalization

- The benefits of globalization extend to all countries that will not happen automatically.
- The fear that globalization leads to instability in the developing world.
- The industrial world that increased global competition will lead in race to the bottom in wages, labour right, and employment practice.
- It leads to global inbalance.
- Globalization has led to an increase in activities such as child labor and slavery.
- People started consuming more junk food. This caused, the degradation of health and spread of diseases.
- Globalization has led to environmental degradation.

SUMMARY

- Globalization is the integration of country with the world economy.
- The three stages of Globalization : • Archiac Globalization • Proto Globalization • Modern Globalization.
- LPG – Liberalization, Privatization, and Globalization
- Multi National Company is a corporate organization which owns or control production of goods and services in at least one country to other than its home country.
- MNC otherwise called Transnational Company(TNC) and Multinational Enterprises(MNE).
- GATT was signed by 23 countries in 1947. India was one of the founder members of GATT.

A-Z GLOSSARY

globalization	the process by which businesses or other organizations develop international influence or start operating on an international scale.	உலகமயமாக்கல்
archaic	of an early period of art or culture, especially the 7th–6th centuries BC in Greece.	தொன்மையான
evolution	the gradual development of something	பரிணாம வளர்ச்சி
mortgaged	expose to future risk or constraint for the sake of immediate advantage.	அடமானம் வைக்கப்பட்ட
spurt	cause to gush out suddenly.	திடீர்
detrimental	tending to cause harm	சீரழிவான
thriving	prosperous and growing; flourishing.	வெற்றிகரமான

24_Economics_Unit_2_EM.indd 309 1/4/2022 8:48:09 PM